

X-FAB **XFAB** **S**August 27, 2026 - 8:57am EST
by

Smansky89

			2026	2027
Price:	6.28	EPS	0.03	0
Shares Out. (in M):	131	P/E	160	N/A
Market Cap (in \$M):	913	P/FCF	36	23
Net Debt (in \$M):	428	EBIT	14	6
TEV (in \$M):	1,341	TEV/EBIT	95	230
Borrow Cost:	Available 0-15% cost			

Description**I. EXECUTIVE SUMMARY AND RECOMMENDATION**

X-Fab is a legacy foundry that operates in the global semiconductor industry; it has six different foundries across France, Germany, the USA and Malaysia. This foundry produces legacy electrical integrated circuits (EIC) commonly called chips or dies; they also produce photonic integrated circuits (PIC), which is a highly explosive segment.

Our recommendation is to short X-Fab shares which offer an attractive risk-reward profile, following what we believe is an unfounded spike in the share price of more than 40%. This opportunity is based on a declining core business, which has absolutely no moat, nor significant drivers, and based on a false belief that X-Fab will be able to capture a significant market share of the upcoming photonics boom. We believe the market incorrectly prices the photonics opportunity which will be captured entirely by leading foundries instead of legacy fabs such as X-Fab; additionally, the core business is in secular decline and hasn't generated a single dollar of cash in over 3 years. We do not believe this will change at all.

Our price target is \$2 and is based on an explicit 3-year forecast with an exit price-to-book multiple which has been selected on a justified basis, given an expected negative RoE and long-term growth.

Information Summary		Valuation Summary	
Shares Outstanding (mm)	130.6	Current price-to-book	0.9x
Stock Price	\$7	Exit Multiple	0.35x
Market Capitalization (\$m)	913	2026-2029 CAGR	1.7%
		2029 RoE	-0.1%
Debt (+)	476	Cost of Equity	9%
Lease Liabilities (+)	116		
Cash (-)	164	2029 BVPS	\$8.08
Enterprise Value (\$m)	1341	Intrinsic Value	\$2.07
Average Daily Volume (k shares)	821	Upside	-70%
Short Interest	2.7%	IRR	-23%

I. COMPANY OVERVIEW**a. Corporate history**

X-FAB was founded in 1992 in Erfurt, Germany, when parts of the former East German state-owned semiconductor conglomerate were privatized and acquired by the Belgian Melexis group. The original Erfurt semiconductor operations dated back to the 1980s, although the broader site had been used by Telefunken since the 1930s; under East Germany they became VEB Mikroelektronik "Karl Marx" Erfurt. X-FAB subsequently acquired a second Erfurt fab from Thesys in 1999.

In 1999, X-FAB also acquired Texas Instruments' Lubbock fab in Texas, originally established in 1977 as part of TI's semiconductor operations. This gave X-FAB its first manufacturing site in the US and expanded the group to three fabs.

In 2002, X-FAB acquired Zarlink's Plymouth fab in the UK for \$30m, which it subsequently sold back to Plessey in 2009.

In 2006, X-FAB completed a merger with 1st Silicon, Malaysia's first semiconductor foundry. 1st Silicon had been established in the late 1990s with substantial Malaysian government support, building an 8-inch fab in Kuching that became operational in 2001. The transaction effectively doubled X-FAB's manufacturing capacity and established its Asian manufacturing base.

In 2007, X-FAB acquired ZMD's Dresden foundry, another former East German semiconductor facility whose origins trace back to the 1980s. ZMD subsequently became fabless, while X-FAB took over its wafer manufacturing operations.

Between 2011 and 2015, X-FAB progressively acquired MEMS Foundry Itzehoe, a MEMS manufacturing operation spun out of Fraunhofer ISIT, taking full ownership in 2015.

In 2016, X-FAB acquired the assets of distressed French foundry Altis Semiconductor, including its Corbeil-Essonnes fab, for €9.2m. The site had originally been established by IBM in 1941, with semiconductor production beginning in the 1960s.

In April 2017, X-FAB went public on Euronext Paris at €8/share (c.€1bn valuation), raising approximately €426m to fund capacity expansion and technology investments.

In 2024, X-FAB acquired M-MOS Semiconductor for €22.5m, adding MOSFET design capabilities to its existing manufacturing platform and expanding its offering in discrete power semiconductors.

Today, X-FAB operates six manufacturing sites across Germany, France, Malaysia and the US: Erfurt, Dresden, Itzehoe, Corbeil-Essonnes, Kuching and Lubbock.

a. Business overview

X-FAB operates a specialty semiconductor foundry business, manufacturing chips for fabless customers that design their own semiconductor products and send the blueprints to the foundry for manufacturing. This makes the fabless model asset-light, as opposed

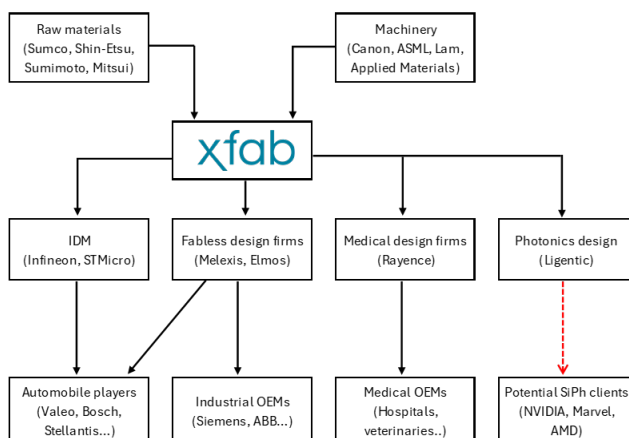
to foundries, which base their entire value proposition on hard assets and manufacturing capabilities.

Rather than focusing on cutting-edge chips like leading fabs (TSMC, Samsung...), X-FAB focuses on mature nodes, their value proposition isn't cutting-edge technology with immense transistor density and complex HBM bonding, but reliability and low-cost accessibility.

Their customers design analog and power chips, hand over the design blueprints, and X-FAB simply processes the design and creates the chip, it is a complex manufacturing service which requires a ton of intellectual property and know-how, even on legacy chips. To summarize, X-FAB creates chips from wafers at a low margin and at a massive scale (millions of annual wafers, which means billions of chips)

They serve four key end markets (cf. Exhibit 1 for detailed revenue split):

- First, we have automobile, which consists of selling chips that sit directly in autos, an average car contains 20+ X-FAB chips; they manage battery, thermal, motor control, sensors etc. They create real world chips that control real world needs and challenges, far away from compute and memory dies within datacenters. The key driver of this segment is straightforward, it is the number of cars produced which use X-FAB's chips, the semiconductor content per car and the ASP per wafer/die. The first is a function of the number of vehicles produced globally (which is in secular decline) and of X-FAB's penetration rate into global vehicles (which we believe has been declining sharply in the first half of 2026). The second, to a lesser extent, is driven by the semiconductor content per car, which is growing slowly, however this incremental demand has minor impact on total revenue and doesn't offset other key drivers. Finally, for such a mature sector it is not expected to see ASP rise in the near or long-term, ASP has decreased 0.5% on average in the past 10 years, while inflation was 2.5%.
- Second is the industrial segment which includes power management IC's, motor control, sensors and industrial connectivity; clients in this segment are fabless design firms or OEMs in the factory and equipment industry. This segment uses exclusively legacy nodes such as 180nm and 350nm, meaning that they use old machines which are already mostly depreciated, even though additional maintenance capex does impact margins. One secular driver of this segment is the progressive installations of more industrial robots, which has doubled in 10 years; it has, however, stagnated in the past few years after reaching an all-time high in 2022 (553m robots), nothing to do with exponential semiconductor growth, this is a slow, secular driver, which could steadily grow its business at a modest 4-5% CAGR. However, X-FAB's customers are significantly concentrated which makes us believe their key driver isn't the secular demand but the client conversion rate and their ability to retain them. Both have been quite a hit or miss in the past years, with spikes of 30% YoY growth to downsides of -25% in some quarters and given the slowdown in industrial prototyping revenues we do not view this segment as explosive.
- Third is the medical segment which grew 27% last year and is expected to grow 25% this year, these chips are used in DNA sequencing, ultrasound, medical imaging and benefit from broader a-cyclical trends, unfortunately this isn't a huge market; it represents only 10% of their revenues and is uncertain whether the growth will hold up in such a mature market. Historically this segment has seen some rough years with 25% revenue declines, which underlines how dependent they are to single clients. Also, given that they contracted 25% in 2024 and are set to grow 50% in 2026, they will only have recovered the 25% loss, this would result in flat revenues vs 2024. It therefore appears that we are far from a booming secular market which can grow 25% annually. What we do know is that it is a very mature market and X-FAB depends massively on a few concentrated customers.
- Finally, the consumer, communication & computer segment which captured much of the hype in the past months, it is here that the innovative photonics chips are set to be in, sold directly at optical designers targeted for hyperscalers and neoclouds as end clients. However, this has been a historically weak segment of c.6% revenue share which has secularly gone down due to X-FAB's lack of leading-edge technology, significant partnerships and customer qualifications. In order to pinpoint the exact revenue opportunity from the expected optical ramp up in the next 3-4 years, we estimate an addressable market for X-FAB (cf. Exhibit 2), following a granular approach where we estimate the number of optical modules required, their dimensions, how many dies are produced per wafer, the yield and the ASP per wafer. This approach allows us to size this potential market for fabs, where we then assume a 5% market share for X-FAB.



Legend: — Confirmed relationship; - - - Unverified relationship

Source: Company filings, Bloomberg

The company earns revenue in Belgium (44%), China (13%), Germany (11%), United States (9%), United Kingdom (6%), Japan (5%) and RoW (12%).

Regarding the cost structure of the business, it is pretty straightforward, COGS are a huge component of total cost (85% 2026e) and can be split into two broad categories, fixed and variable costs, which are split roughly 70% and 30% respectively.

The variable component mainly contains cost of material, which include wafers, chemicals and gases, which sit at around c. 20% of revenue; these are mostly dependent on revenue and inventory dynamics.

For the fixed part, they mainly are employee expenses (c. 29%), fixed asset expenses (c. 13%) and depreciation (c. 15.5%). These costs are totally independent from revenue growth, as employee expenses have steadily grown as a function of salaries and the number of employees; fixed asset expenses are closely linked to total machinery (as they represent maintenance and spare parts costs); and depreciation is a function of existing PPE and previous capex expenditures.

Regarding operational cost, they are even more dominated by fixed costs, 40% come from fixed R&D spending (mostly employee expenses) and 45% come from general administrative expenses (more employee expenses) which have historically been uncorrelated to changes in revenues.

The variable components are mostly from the remaining R&D spending at 8% of total OPEX and selling expenses which are directly related to revenues which sit at 9% of total OPEX.

The entire cost structure is designed for massive operational leverage (70% of total costs are fixed) which directly punishes profitability in cases of revenue slowdown or stagnation. For example, operational margins are set to contract 670bps in 2026 as revenues contract by 9%, same story in 2024, an 8% revenue contraction resulted in 470bps contraction in operational margin, 400bps in gross margin and 840bps in RoE.

To sum up X-FAB's business, their operational income is based on the number of wafers they produce multiplied by a certain average price, then subtracted by massive, fixed costs, which are mostly employee costs and machinery and then by some significant variable costs in the raw materials they use to produce their wafers. In 2026, we expect their utilization rate to be at c. 65% compared to 90% in 2023 and 78% in 2024, this is directly linked to profitability since a high utilization rate means the fixed costs are averaged out over more products.

a. **Management overview**

X-FAB is led by a highly operations-focused management team with deep experience in specialty semiconductor manufacturing but limited exposure to leading-edge technologies. CEO Damien Macq is highly technical, holds a PhD in engineering, and only became CEO in 2026 after serving as COO, with no prior CEO experience. The senior management team is largely composed of long-tenured X-FAB executives, with most members having spent many years within the group, and is highly technical, with most members holding engineering degrees. None of the senior management team have a background in cutting-edge technologies such as silicon photonics, with their experience concentrated in mature-node manufacturing and process engineering. **Given the team's long tenure and limited exposure to newer technologies, a significant change in strategy or approach appears less likely. Additionally, management has limited equity ownership in X-FAB, providing relatively limited alignment with shareholders.**

Exhibit C: X-FAB management team

Name	Position	Background
Damien Macq	Group CEO <i>Since 2026</i>	PhD in Engineering; Melexis, ST-Ericsson, ON Semiconductor/AMIS; operations
Alba Morganti	CFO <i>Since 2017</i>	Investment banking, structured finance & corporate finance
Jörg Doblaski	CTO <i>Since 2020</i>	Electrical Engineering; long-time X-FAB; engineering & design technology
Sébastien Daveau	CEO – X-FAB France <i>Since 2023</i>	PhD in Engineering; X-FAB, Altis Semiconductor; process engineering
Gabriel Kittler	CEO – X-FAB Erfurt <i>Since 2020</i>	PhD in Electrical Engineering; long-time X-FAB; process development
Rico Tillner	CEO – X-FAB Texas <i>Since 2023</i>	Master's in Electrical Engineering; X-FAB Dresden; process integration
Michael Woittennek	CEO – X-FAB Dresden <i>Since 2023</i>	Master's in Physical Engineering; long-time X-FAB; lithography & fab operations

Source: Company website, LinkedIn

I. **INVESTMENT THESIS**

a. **Automobile market share loss**

The number of automobile customers has gradually declined in the past 3 years (published annually only), while the number of cars produced globally has secularly gone down in the past years and wafer ASP has remained roughly flat over that period.

We believe that the only plausible explanation for X-FAB's automobile ARR to be down c. 20% in 2026 is that their penetration rate has meaningfully gone down, which hasn't been talked about by management at all.

We estimate that X-FAB monthly production fell by more than 15K in 2026 compared to 2025, we arrived to this number by accounting for the average size of the dies produced, the yield of the fab which is estimated at c. 90%, the wafer ASP which is estimated at \$526/unit and an average of 20 devices per car. According to our math X-FAB's penetration rate in the global automobile sector went down 10% YoY, this is not explained by the secular decline of autos and is clearly an idiosyncratic event. Given that Melexis accounts for nearly 40% of their total revenues and they aren't suffering a slowdown in H1 2026, we therefore believe that it is the penetration rate that collapsed. We believe this is due to a few key reasons:

- **China fabs & politics:** In 2025 we observed a first hint towards a massive deceleration of revenue growth from that period (-70% gamma). Revenue was up 7% in 2025 vs 30% and 43% previously in 2024 and 2023 respectively. We believe there is a strong relationship between the increase utilization rates of chinese (SMIC UTR for 8inch went from 81% in '24 to 86% in '25 and is on course to reach 88% in '26) and the decrease in X-FAB's revenue given their historical reliance on chinese revenues.

This is caused by a simple reason, china is aggressively reducing reliance on foreign semiconductor suppliers, which is a macro trend we have been seeing since early 2025.

- **IDM ramp up:** Over the recent years we have observed an internal production ramp from several key automobile IDMs such as Infineon (200mm SiC ramp in Villach & Kulim) and STMicroelectronics (Aragate 300mm & Catania 200nm SiC ramp).

What compels this thesis is that neither management nor sell-side analysts have reported on this eventuality, that market penetration has suddenly gone down, which allows for significant stock downside.

b. *Capex over-investment and margin compression*

We estimate X-FAB's production cycle at around 4 months, which is implied from their backlog and orders, this means that X-FAB has little to no visibility over long-term demand dynamics, this is confirmed by their lackluster precision on guidance in the past 3 years and their refusal to give annual guidance for FY2026.

Despite having little to no long-term visibility on demand, X-FAB has made a massive capex bet a few years ago, when their book-to-bill ratio was significantly higher at around 55% and their UTR was at 90%. They decided to invest close to \$1Bn over 3 years to expand their wafer capacity, at the time this could have been a sensible bet, however it has turned ugly, as their current UTR sits at around 64% and their book-to-bill ratio is at 32%. We do not think the market has punished X-FAB enough given how bad the situation has turned out.

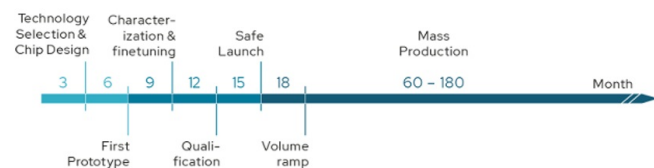
This enormous capex buildout will result, according to our estimates, in c. \$180m annual depreciation in 2029 (cf. Exhibit 3) which will totally crush X-FAB's profitability (EPS already turned negative in H2'26) and ROE, which we estimate in our base case at 0% in 2029. This high level of depreciation is due to low machinery average useful life of 7 years, and the fact that more than \$600m of machinery is currently under construction, which will be converted into usable machinery and depreciated at high rates.

X-FAB still targets a 10% to 15% capex intensity in the future, which we think would permanently impair their business, we therefore think that capex will need to be cut in the future, potentially giving some relief to the stock, however we do not believe this will ultimately matter, as profitability and revenue growth will most likely drive the stock down.

c. *Non-actor in the Silicon Photonics revolution*

In the foundry model, product lifecycle is typically pretty long, it usually takes 6 months to get a viable prototype going then additionally 6 months to get qualified then another 6 months for a meaningful volume ramp. This means that we should observe prototype revenue ramping up ahead of big technological wins roughly 16 months prior, prototype revenue should be a leading indicator for future product wins and market penetration.

Exhibit D: Illustrative product lifecycle



Source: Company filings

However, X-FAB's prototype revenue has secularly gone down in the past 3 years (-13% CAGR) while cutting-edge optical technology (CPO/NPO and 1.6T eth) is advancing at a fast pace, led by NVIDIA (which is ironically a "partner" of X-FAB's consortium). As we know CPO is already prototyped and scheduled for a meaningful ramp in 2028, and given CPO's complexity, its life cycle from prototype to ramp should be no less than 24 months.

Their silicon photonics prototyping is scheduled between late-2026 and mid-2027, this is extremely late compared to other SiPh producers such as TSMC, GlobalFoundries and Tower semis, their production is already established; this means the technological gap between leading and legacy fabs will widen. Leading fabs will most likely develop better yields over time and will have gone through massive trial and error before X-FAB is even qualified, which will establish an enormous moat for them.

Additionally, leading fabs are producing SiPh using 12-inch wafers, as opposed to X-FAB's legacy 8-inch wafers, this is a key issue because 12inch wafers offer twice as much net area, which directly translates to twice as many dies per wafer. This means way superior gross margins on the same end-product, it also means that X-FAB will be forced to price their service accordingly and probably charge a significant ASP discount in order to compensate for the inferior dies per wafer count.

To summarize this point, there have been some internet rumors that X-FAB is meaningfully exposed to the upcoming photonics ramp, we fail to see any proof that would corroborate this claim, on the flip side we believe that the trend in the prototyping revenue is proof that they aren't qualified, this is also supported by the total absence of meaningful recent partnerships.

X-FAB did, however, announce a partnership with Ligentic, which is a \$5.5m revenue firm. Apparently, this is massive news. We believe, again, that this is more proof that they are trying to grab onto anything that could save them at this point... This continues to hint towards a total absence of connection to the entire AI buildout via the hyperscalers and neoclouds, which is very problematic for the bull case.

d. *Absence of cost cutting initiatives*

As explained before, X-FAB's cost structure is brutal with 70% fixed costs, with employee costs representing c.60% of the fixed part, while most of the remainder reflects machinery and depreciation. This leaves very little room to cut costs if utilisation remains weak. The only obvious lever is headcount, and the only thing X-FAB can realistically do is stop hiring (which it has at least started to do in H1 2026), it structurally cannot cut many employees. In France, Belgium and Germany, large-scale economic redundancies are possible but subject to extensive consultation and labour-protection procedures, making rapid restructuring difficult. Regarding its Malaysian subsidiary (X-Sarawak) it is heavily influenced by the government as they own 11% as a strategic shareholder (they owned 45% pre-IPO), being that they actively promote X-FAB as creating jobs and being an innovator hub, we believe they will not sit on the sidelines if X-FAB tries to aggressively cut employees. We therefore believe at most they will lay off 15% of their Sarawak workforce, which represents c.\$3.7m recurring annual cost savings (cf. Exhibit 4), we do not view this as significant considering the massive margin squeeze that is coming.

This is particularly problematic given the profile of the management team (cf. Exhibit C), which is highly technical and engineering-

focused, with deep technical expertise, long X-FAB tenure but limited appetite or experience for the kind of aggressive restructuring required here. X-FAB's history also matters, the company emerged from the remnants of the former state-owned East German semiconductor industry, and it appears to have retained some of its characteristics, which include a heavy bureaucratic organisation. The result is a structurally inflexible cost base where, if revenues stagnate or decline as we expect, there is simply no easy lever to pull to protect margins.

I. FINANCIAL SUMMARY

The table below outlines the company's historical financials as well as our 3.5-year forecast. There are a few noteworthy comments to be made here.

First, our topline forecasts are closely aligned with our unit economics estimates for the automobile segment, and with our TAM model for the CCC segment.

Second, the cost structure is derived from precise line by line forecasting of individual drivers such as employee expense, depreciation and machinery maintenance, which has allowed us to model precisely how margins would behave under our revenue assumptions.

Finally, the large depreciation increases were derived by estimating future PPE (based on current \$600m existing assets under construction) and their subsequent depreciation based on their useful lives.

Exhibit E: X-FAB financial summary

million USD	2023	2024	2025	2026e	2027e	2028e	2029e
Automotive	539	553	558	460	450	448	443
Industrial	206	155	185	189	198	207	216
Medical	67	56	71	89	100	109	117
CCC	77	58	53	51	51	54	69
Revenues	890	822	868	791	800	819	846
Change (%)		-7.6%	5.5%	-8.8%	1.1%	2.4%	3.3%
(-) COGS	649	633	686	670	685	707	731
(=) Gross Profit	241	189	182	121	115	112	114
Gross margin (%)	27.1%	23.0%	21.0%	15.3%	14.4%	13.7%	13.5%
(-) SG&A	56	56	57	58	59	59	60
(-) R&D	47	50	50	52	52	52	52
(=) Operating Profit	141	92	74	14	8	4	5
Operating margin (%)	15.8%	11.1%	8.5%	1.8%	1.0%	0.5%	0.6%
(-) Interest expenses	2	2	36	6	6	6	6
(-) Taxes	6	23	10	2	0	0	0
Net Income	133	66	28	6	1	-3	-2
Net income margin (%)	14.9%	8.0%	3.3%	0.7%	0.1%	-0.3%	-0.2%
(+) D&A	88	103	120	137	152	167	181
EBITDA	229	195	194	151	160	171	186
Shares outstanding	130.8	130.6	130.6	130.6	130.6	130.6	130.6
BVPS	7.3	7.8	8.1	8.1	8.1	8.1	8.1
EPS	1.0	0.5	0.2	0.0	0.0	0.0	0.0
est. UTR (%)	91%	78%	81%	64%	63%	62%	64%
Book-to-bill	53%	50%	37%	32%	34%	34%	35%

Source: Company filings, Bloomberg, author estimates

I. VALUATION & SCENARIOS

In order to value X-FAB given our base scenario of near zero profitability and therefore non-material EPS forecasts, we decided to value their business based on a justified price-to-book approach.

After forecasting return on equity metrics via profitability and average book value, we compared the RoE to X-FAB's cost of equity of 9%, adjusted for long-term cash burn of c. 5%, and computed a justified price-to-book ratio given the value destruction of X-FAB's operation. This resulted in a justified P/B ratio of 0.4x which really puts into a single number our whole thesis: we do not believe X-FAB's business is fundamentally sustainable, and their massive capex spending has permanently impaired their profitability capabilities.

Our 2029 scenarios reflect different assumptions around X-FAB's key growth drivers. In our base case, we assume 65% utilization, 5% SiPh market share capture and limited automotive penetration growth, resulting in a 22% EBITDA margin. The bear case assumes no SiPh contribution, lower medical and industrial growth and negative 2.5% automotive penetration growth, driving EBITDA margins down to 16%. In the bull case, we assume 15% SiPh TAM capture and strong automotive rebound, supporting 26% EBITDA margins and positive ROE which therefore justifies a positive price-to-book ratio.

Exhibit F: X-FAB scenario analysis

	Base	Bear	Bull
2029 BVPS	8.1	7.2	9
Multiple	0.3x	0.2x	1.2x
Price target	\$2.1	\$0.9	\$8.0
Upside	-70%	-87%	14%
Probability	70%	10%	20%
Risk weighted price target	\$3.1		
Risk weighted upside	-55%		

Source: author estimates

I. **KEY RISKS**

a. ***Automobile cycle penetration rate***

The main risk for our thesis is being totally wrong regarding the automobile revenue collapse, if management is right and it is merely an inventory adjustment from their customers, revenues should rebound and the stock could rally. Additionally, chinese fabs could run into overcapacity as certain fabs on lower nodes are close to 90% UTR, they could also miraculously unlock new customers in an already mature ecosystem, this isn't an impossibility.

The overall automobile sector could also rebound, and we could possibly see an acceleration of EVs which would flow directly into X-FAB's topline.

However, we do not believe there is much, if any, evidence that this will happen, and even if it does, it still would not fix the inherent margin issues that X-FAB is facing, we are therefore not very worried about this risk. We will still be closely monitoring X-FAB's number of clients, their penetration rate, potential automobile clients and the chinese fabs utilization rates.

b. ***Photonics market capture***

A key thesis breaker would be unexpectedly strong penetration of the photonics market, which we view as a tail risk. Most sell-side analysts do not see communications & datacenters as a meaningful future growth driver, we broadly agree. Nevertheless, we assume 5% SiPh market capture in our base case, equivalent to only c. \$50m of annual revenue, while a highly unlikely 50% share would imply c. \$175m. We see little evidence to support this upside: X-FAB's prototype revenue has declined c. 13% CAGR over the past three years, while CPO/NPO and 1.6T Ethernet are advancing rapidly. Its SiPh prototyping is only scheduled for late 2026-mid-2027, materially behind TSMC, GlobalFoundries and Tower, which already have established production and will therefore have a significant yield and learning-curve advantage. X-FAB also remains on legacy 8-inch wafers versus 12-inch at leading fabs, creating a structural cost disadvantage.

The PhotonixFab consortium is also laughable (which involves NVIDIA, Nokia and X-FAB), NVIDIA has thousands of active partnerships which do not mean anything at such early stages, what could break our thesis would be a joint development agreement or a meaningful capacity agreement. More broadly, leading fabs have ample capacity to absorb upcoming SiPh demand and are deeply embedded in the AI ecosystem, whereas X-FAB remains largely disconnected from it.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

A key catalyst for X-FAB stock is the upcoming quarterly earnings (notably Q3 & Q4) which will give us clear confirmation on what is happening with the automobile sector. These events will also give us more information regarding the prototyping trends (especially as SiPh prototyping is scheduled to start late 2026), and insights towards the other segments.

Another important catalyst will be the second-half 2026 and FY2026 reports, these reports both offer visibility into metrics that are not discussed in quarterly reports, such as the number of customers, granularity on the cost structure and on capex expenditures, which is key to accurately map future depreciation expenditures.

We also believe that important profit warnings are possible if the automobile situation worsens, given the pretty high embedded expectations in the stock, this gives a ton of room for correction. Historically, as explained previously, X-FAB's management has been slow to recognise core problems and slow to adjust guidance and expectations.

Messages

Subject some points
Entry 08/27/2026 10:55 AM
Member roojoo

Thanks for the writeup. I don't disagree with the conclusion that this could be a short, although an automotive recovery could be quite profitable for them and the operating leverage would then actually work in their favor.

"The number of automobile customers has gradually declined in the past 3 years (published annually only), while the number of cars produced globally has secularly gone down in the past years and wafer ASP has remained roughly flat over that period."

Nobody will look at the graph on which I think you base this conclusion and conclude that the automotive business is in terminal decline:

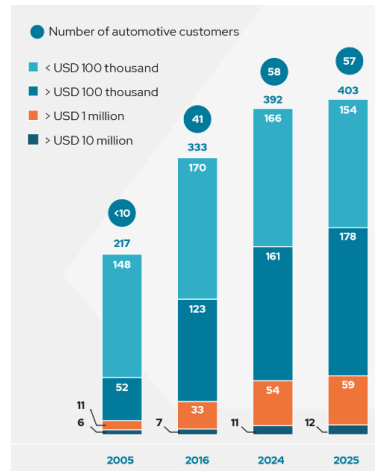


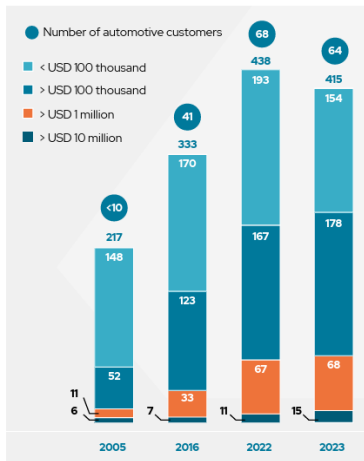
Fig. 4.3: X-FAB's customer count by annual revenue

Meanwhile, everyone will probably agree that this business is immensely cyclical, caused predominantly by lengthy destocking and restocking cycles. XFAB was the last to experience the down turn, and is a lot later than peers in seeing a recovery. Last Q actually saw a book-to-bill of >1 if you exclude the last-time-buy program (the fact that this program will disappear in the next few Qs should probably be part of a bear case).

There is a lot to dislike about how management has been running this business: Capex will remain elevated. You are right that depreciation will spike. Their LTA have left their customers with too much inventory and ASPs will continue their annual decline now that LTAs expired. But I think you're overlooking the fact that this is still a cyclical and we are closer to the bottom than the peak of the cycle.

Subject Re: some points
Entry 08/27/2026 11:43 AM
Member Smansky89

Looking at that chart and my statement, you would think I am a heavy drinker, but in reality, they somewhat conveniently only publish the last two years. When you actually look at their 2023 report, you see what I'm seeing, which is that the number of OEM customers has gone down in the past 4 years.



I don't disagree that this is a very cyclical business, I rarely try to get a cycle right as I think it's pointless. What I think is more interesting is why has their auto revenue gone down so heavily while Melexis', which are 45% of their revenue, has experienced a great half year.

My thesis is that there is something else happening other than what management says, "inventory destocking". Wouldn't you see that through Melexis' earnings?

This is why it seems to me that the more plausible cause is that they lost some market share in China and due to some European IDMs ramping their own supply.

Sure, if the cycle bottoms the stock will do good, but who can predict such things... And you'll be better off owning European OEMs at negative EVs.

Bookings have increased yes, but this still doesn't provide information on longer-term demand, management has no visibility on demand...

Subject Re: Re: some points
Entry 08/27/2026 01:03 PM
Member roojoo

Thanks for showing me the 2023 graph. You're right that this graph is deceptive - it managed to deceive me :)

I'd agree on Chinese competition being a very material threat. I'm not sure whether that's the reason behind a lower number of customers. I thought it would show up through companies like Melexis sending more of their orders to Chinese fabs. Management has always downplayed this threat by saying it's only low value-add chips that are now sourced in China, but it's obviously a Chinese policy goal to do more in house.

I've actually briefly shorted this going into Q1 earnings, after having written this up once as a long on vic. You're right, you can't time the cycle accurately, but commentary by companies like Infineon have been somewhat positive. I think XFAB will see a slightly longer downturn than peers due to their LTAs which caused more oversupply.

And management is still telling the market that they'll deleverage this year, while FCF will obviously end up negative for 2026 and they're ramping up Capex again, despite promising a Capex drop.